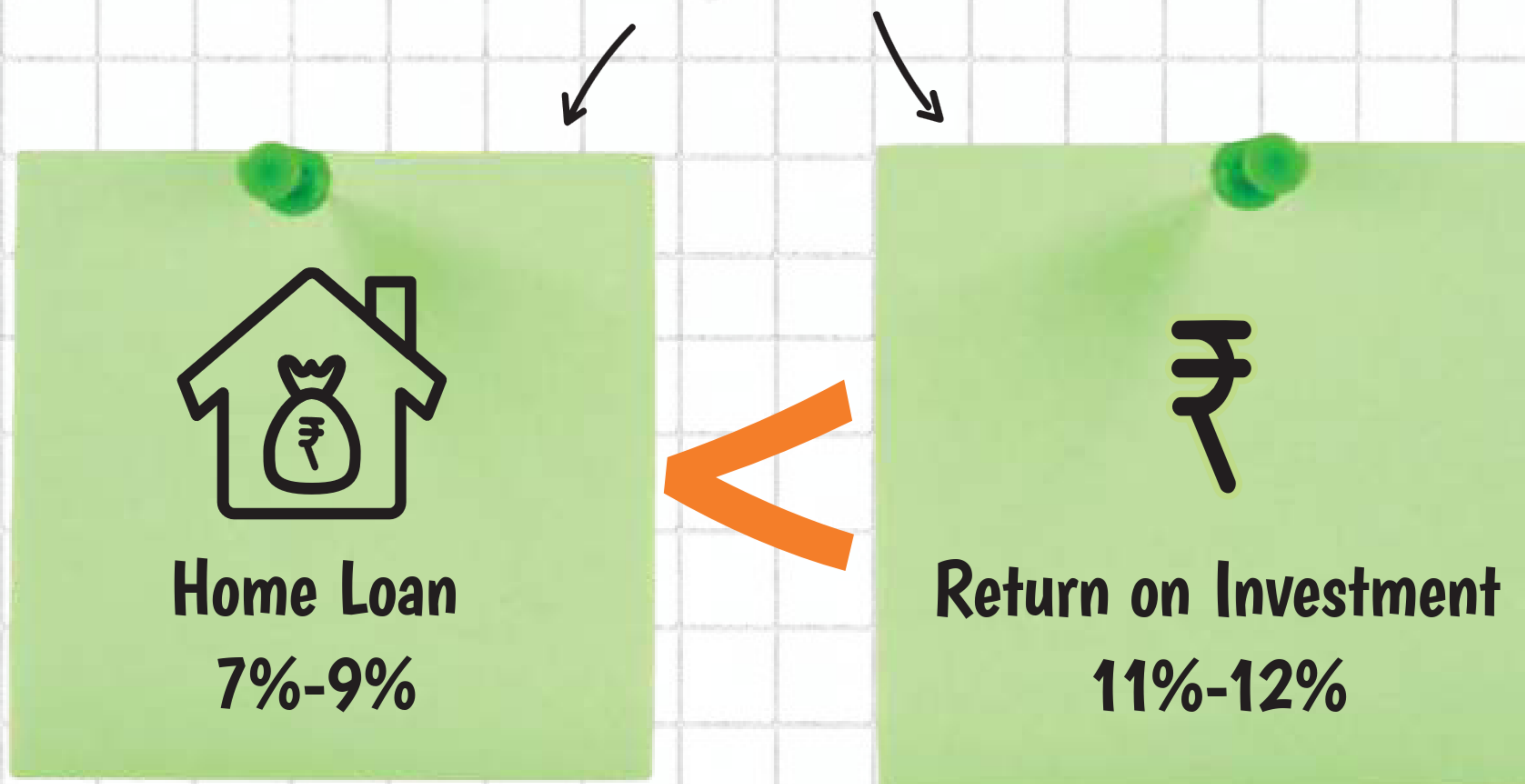


ii. When debt is cheaper

If you are getting a loan at an interest rate which is considerably less than what return you can generate from your investments then it is a good loan.

For example, home loans are one of the cheapest loans and you can get tax benefits on this loan.



Now, if you don't have the money saved then you don't have an option but to take a loan to buy a house

But if you had enough money saved then you either block it in buying your house or take a loan for your house at say 8% and invest the rest of the money and earn around 11%-12%.

This way you are earning extra return, your money will be more liquid and you get tax benefits as well..

3% - 4% ⇒ Difference

Hence here taking a loan still makes sense.

However, a loan is still an obligation and investing can be risky, so if you want to avoid stress, you can choose not to take a loan.